Economics - Undergraduate Level Assessment 5 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. A small business estimates price elasticity of demand for the product to be 3. To raise total revenue, owners should
   (a) keep the price constant as demand is elastic.
   (b) decrease price as demand is inelastic.
   (c) decrease the quality of the product.
   (d) increase price as demand is elastic.
   (e) increase price as demand is inelastic.

2. Suppose the government seeks to achieve a balanced budgetby levying taxes of $100 billionandmakingex$
billion. How will this affect NNP if MPC = 0.8?
   (a) Decrease of $500 billion in NNP
   (b) Increase of $500 billion in NNP
   (c) Decrease of $100 billion in NNP
   (d) No change in NNP because taxes cancel out expenditures
   (e) Increase of $200 billion in NNP

3. A minimum wage in the market for fast-food workers is likely to produce
   (a) a decrease in the demand for fast-food workers.
   (b) a stabilization in the market for fast-food workers.
   (c) a decrease in the supply of fast-food workers.
   (d) a decrease in the prices of fast-food items.
   (e) no change in the market for fast-food workers.

4. Which one of the following is a disadvantage of the general to specific or "LSE" ("Hendry") approach to building econometric models, relative to the specific to general approach?
   (a) Some variables may be excluded at the first stage leading to coefficient biases
   (b) The final model may lack theoretical interpretation
   (c) The final model may be statistically inadequate
   (d) If the initial model is mis-specified, all subsequent steps will be invalid.

5. If 1964 GNP $= 622 billionandtheaveragemoneysupplywas 155$ billion, what was the income velocity of money?

(a) 4.5 times

(b) 3 times

(c) 4.0129 times

(d) 7 times

(e) 2 times

True / False (10 marks)

Answer True or False

6. True or False: If a household has savings of 3000$andpays$2000 in taxes, its personal income is $10,000$$anddisposableincomeis$8000.

7. True or False: Monetarists believe that the velocity of money (V) and real output (Q) are always increasing over time.

8. True or False: The optimal one-step ahead forecast of the change in y is the current value of y minus the drift b.

9. True or False: The demand curve in a kinked demand model is a single continuous function without any breaks or changes in slope.

10. True or False: A socially optimal price for a natural monopoly occurs when marginal revenue equals marginal cost.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the effects on the price and quantity of roses in the market when there is a simultaneous decrease in supply and an increase in demand, discussing the implications of these changes.

12. Discuss how consumer sovereignty, producer profits, competition, and resource mobility interact to determine the types and quantities of goods produced in a pure capitalist economy.

End of Paper